

March 13, 2026, Civil Law & Motion Tentative Rulings

1. CL0001047

First National Bank of Omaha vs. Gerasimos Christoforatos

Defendant Gerasimos Christoforatos' motion to vacate judgment under Code of Civil Procedure section 473(b) or under the Court's equitable powers is denied.

Under [Code of Civil Procedure section 473(b)], a court may relieve a party from a default or default judgment due to 'mistake, inadvertence, surprise, or excusable neglect' if the party files an application for relief within six months from the date of the default." *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 28. "The six-month time limit for granting statutory relief is jurisdictional and the court may not consider a motion for relief made after that period has elapsed." *Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 42. Here, judgment was entered on February 13, 2025, and the operative motion, at earliest, was filed on December 12, 2025 (with an amended motion on January 13, 2026). This Court lacks jurisdiction under section 473(b) to consider this motion filed approximately ten months after the judgment.

"Aside from section 473, subdivision (b), 'courts have the inherent authority to vacate a default and default judgment on equitable grounds such as extrinsic fraud or extrinsic mistake.' The court's ability to grant relief under its inherent power is narrower than its ability to grant relief under section 473, subdivision (b)." *Kramer*, 56 Cal.App.5th at 29. "A party seeking relief under the court's equitable powers must satisfy the elements of a 'stringent three-pronged test': (1) a satisfactory excuse for not presenting a defense, (2) a meritorious defense, and (3) diligence in seeking to set aside the [judgment]." *Kramer*, 56 Cal.App.5th at 29, citing *Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 982-983.

" 'Although the policy of the law is to favor a hearing on the merits of a case, courts are not required to set aside ... judgments for defendants who flagrantly ignore the responsibility to present a defense.... The defendant must ... demonstrate a satisfactory excuse for not responding to the ... action in a timely manner.' " *Kramer*, 56 Cal.App.5th at 29, quoting *Cruz v. Fagor America, Inc.* (2007) 146 Cal.App.4th 488, 503-504.

In addition, "a defendant that believes it is in default must act with diligence Our Supreme Court has stated that courts should evaluate "whether defendant[s] in the *light of the circumstances known to [them]* acted unreasonably in not filing the motion to set aside the ... judgment earlier." *Kramer*, 56 Cal.App.5th at 37, quoting *Weitz v. Yankosky* (1966) 63 Cal.2d 849, 857-858.

At bar, defendant has failed to demonstrate a credible and satisfactory excuse for not presenting a defense in connection with the request for entry of judgment and diligence in seeking to set aside the judgment. Defendant, of course, had notice of the instant lawsuit. He originally filed a December 28, 2023, answer and counterclaims, appeared for trial on March 4, 2024, and ultimately executed a comprehensive agreement to resolve the matter. See 3/4/24 and 3/12/24 Stipulation and Order. Of importance, Defendant had multiple notices that Plaintiff intended to seek entry of judgment. On January 23, 2025, Defendant was advised via a letter to his address of record that Plaintiff potentially would seek to have judgment entered; on February 7, 2025, Defendant was specifically advised that he was "in default" and that Plaintiff "will proceed in

requesting that the Court enter judgment against you....” See Amended Mot. 2:22-25, 3:10-14,1/13/26 Appendix of Exs., Exs. C, E. Plaintiff filed its application to enter judgment on February 11, 2025, and served the same on Defendant at his address of record. See 2/11/25 Application and Declarations. Notwithstanding full notice that Defendant was allegedly in default and that Plaintiff was applying for entry of judgment, Defendant filed *nothing* to oppose the request for entry of judgment including any sort of defense. Moreover, Defendant has provided no credible explanation as to why he took no action to challenge the instant judgment until December 2025.

“Given [Defendant’s] inability to satisfy the satisfactory excuse or diligence prong, [the Court need] address whether they have a meritorious defense.” *Kramer*, 56 Cal.App.5th at 38.

In sum, the motion lacks merit and is denied.

2. CU0000512 eCapital Asset Based Lending v. Nicole Medina, et al.

Defendants’ motion for attorney’s fees is granted in part, that is, in the amount of \$74,480.00.

Request for Judicial Notice

Defendants’ requests for judicial notice of exhibits 1-3 are granted.

Mr. Bonuchi’s Fees

Plaintiff argues Mr. Bonuchi’s fees are not recoverable in this case as they were in a separate federal case (S.D.N.Y. Case No. 21-cv-0507). The Court agrees.

The case at bar was filed on January 17, 2023. The Declaration of Anthony W. Bonuchi shows all of his time billed took place between February 18, 2021 through August 5, 2021 and related entirely for the federal case. Mr. Bonuchi’s fees are not recoverable as fees associated with the instant matter.

Ms. Jones and Mr. Richard’s Fees Under the Tracy Guaranty

Parties Entitled to Fees

Plaintiff argues that because Ms. Medina was the only personal representative of the Estate of David Freeman, Defendant Mitchell Freeman was not in privity of contract with decedent and cannot claim attorney’s fees under the reciprocal attorney’s fees clause of the Tracy Guaranty. The Court disagrees.

Plaintiff does not dispute the Tracy Guaranty contained a reciprocal attorney’s fees clause. Opp. 7:9-10. Under Civil Code 1717(a), thus, “the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney’s fees in addition to other costs.” “Prevailing party” is specifically defined in Code of Civil Procedure section 1032 to include “a defendant in whose favor a dismissal is entered....” Code Civ. Proc. § 1032(a)(4). Therefore, both Defendants were the prevailing party for purposes of Civil Code section 1717, whether specified in the contract or not. See *Reynolds Metals Co. v. Alperson* (1979) 25 Cal.3d 124, 128 (“Section 1717 was enacted to establish mutuality of remedy where contractual provision makes recovery of attorney’s fees available for